Cambridge Assessment International Education

Cambridge O Level

ECONOMICS **2281/11**

Paper 1 Multiple Choice **May/June 2025**

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

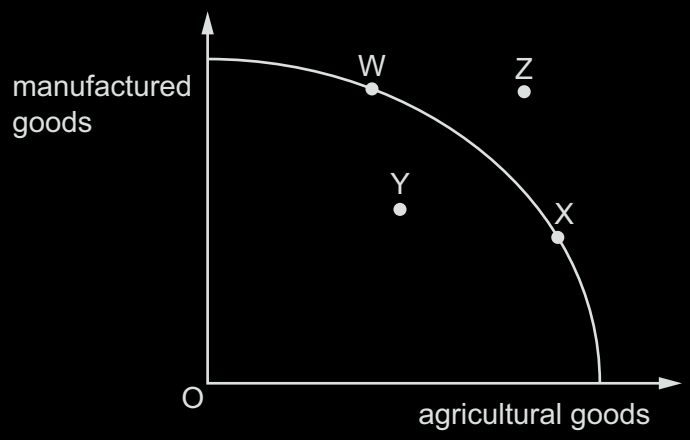
INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.

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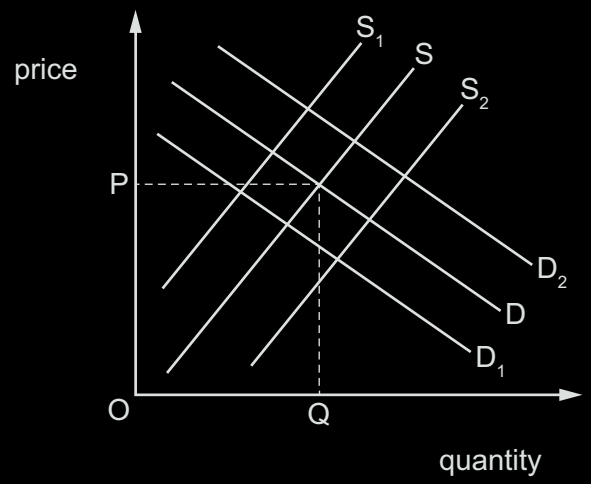


A government decides to encourage more production of manufactured goods instead of agricultural goods.

Which movement shows this policy change?

A W to X **B** W to Y **C** X to W **D** Z to X

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How would the introduction of a subsidy be shown?

A Demand would shift to D_1.

B Demand would shift to D_2.

C Supply would shift to S_1.

D Supply would shift to S_2.

7 The table shows the quantity demanded at different prices.

price $	quantity demanded
6	3
5	4
4	5
3	7
2	9

For which fall in price is the demand price-inelastic?

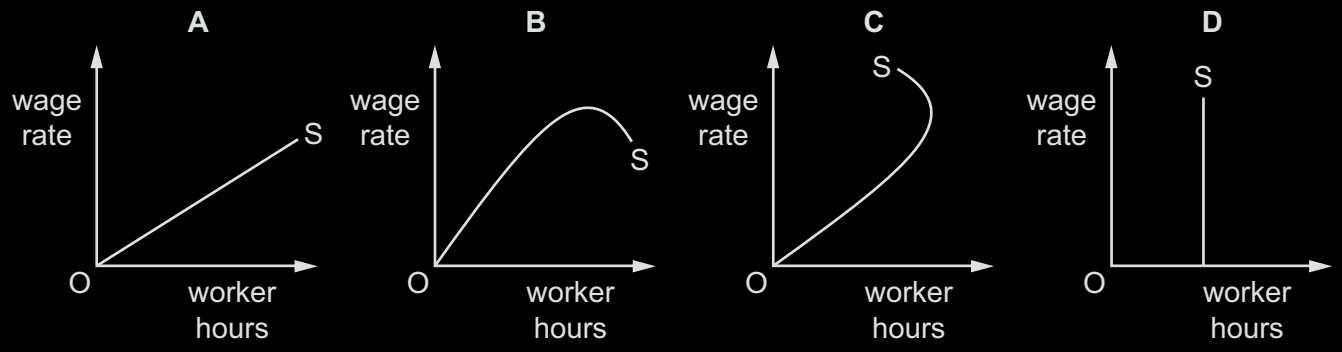
A from $6 to $5

B from $5 to $4

C from $4 to $3

D from $3 to $2

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13 What is a function of a trade union?

A to negotiate workers' contracts

B to promote workers to more responsible jobs

C to recruit workers for the firm

D to supervise the workers in the firm

14 There has been an improvement in the transport infrastructure in India that reduces the costs of farming.

What is this an example of?

A external diseconomies of scale

B external economies of scale

C internal diseconomies of scale

D internal economies of scale

15 A firm chooses to become more capital-intensive.

What is **least** likely to have increased?

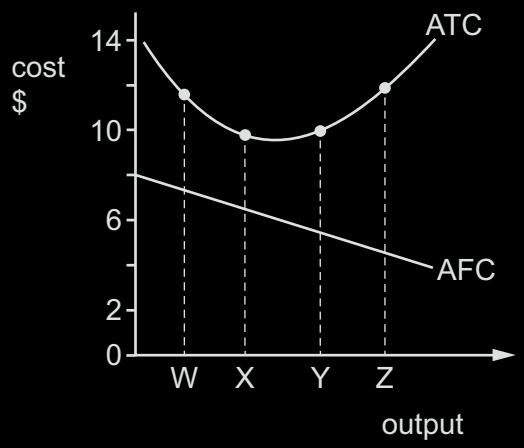
A interest rates

B minimum wages

C the power of trade unions

D the productivity of capital

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Which statement is correct?

A At output X, average variable costs are lower than average fixed costs.

B At output Y, total variable costs are greater than total fixed costs.

C Between outputs W and Z, total fixed costs are falling.

D Between outputs W and Y, average variable costs have not changed.

17 What is a macroeconomic aim of a government?

A high external costs

B high sales tax

C low unemployment

D low wages

18 What is a principle of taxation?

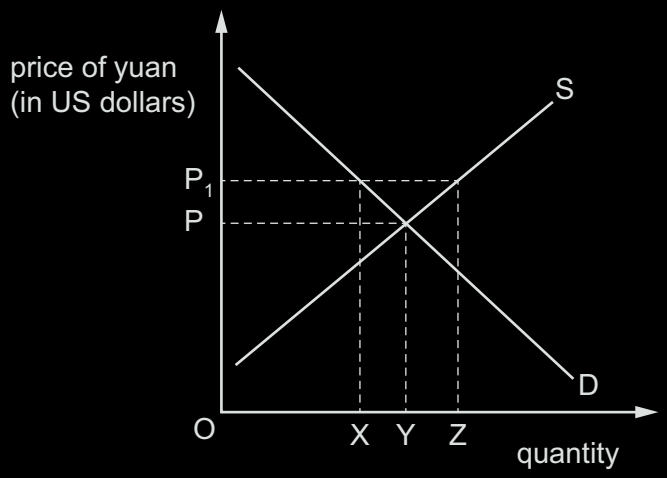
A equality between social cost and social benefit

B fairness between taxpayers

C profit maximisation by firms

D tax revenue maximisation

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The Chinese central bank wishes to set the price of the yuan at P_1.

Which action would it have to take?

A buy XY yuan

B buy XZ yuan

C sell XY yuan

D sell XZ yuan

30 The table shows the values of the items in a country's current account in two years.

item	year 1 ($m)	year 2 ($m)
balance of goods and services	–30	0
net primary income	–30	–20
net secondary income	?	?
balance of current account	–50	+10

How did the value of net secondary income change between year 1 and year 2?

A decreased by $10m

B decreased by $20m

C increased by $20m

D increased by $30m

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